Micron Technology, Inc.

MU NASDAQ

Buy	$932.97 ▲ 2.48%	12M Price Target **$1100.00**	52-Week Range $114.25 – $1255.00	Market Cap N/A

MU: CHIPS Act Tailwinds Meet AI Memory Supercycle

WHAT HAPPENED

- MU bounced +2.5% today after a nasty -5.5% drop Monday — classic "buy the dip" behavior in a name that's been on a tear (still near the top of its 52-week range at $932). The Nvidia weakness headline is actually relevant here: MU makes the HBM (High Bandwidth Memory) chips that go INTO Nvidia's AI GPUs, so when NVDA sneezes, MU catches a cold — but the bounce back suggests traders think the pullback was overdone.
- Options flow is screaming bullish — someone dropped $52M+ in near-term call bets at $925-950 strikes at 4-10x normal volume. That's not retail; that's institutions positioning for a move higher, likely into September earnings.

WHY IT MATTERS

Here's the thing to understand about MU right now: they're not just a chip company, they're a policy darling. The CHIPS and Science Act (the 2022 law that hands out ~$52B to bring semiconductor manufacturing back to the US) awarded Micron $6.1B in direct grants for their New York and Idaho fabs — that money is actively flowing. Layer on top: the Trump administration's semiconductor tariffs on China have effectively kneecapped their main competitors (Samsung and SK Hynix are Korean, and China's CXMT is now restricted). So MU is the only pure-play US memory maker, in an AI cycle where HBM demand is outrunning supply. The bullish options flow tells me smart money sees a catalyst — likely September earnings where HBM guidance could shock to the upside. Watch for: any Commerce Department announcement expanding chip export controls, which is a direct MU tailwind.

POLICY & POLITICAL WATCH

Two things to track this week: (1) The Commerce Department is reportedly considering tightening HBM export restrictions to China further — if that happens, MU's Chinese competitors get boxed out even more, and MU pricing power goes up. (2) There's ongoing debate in Congress about "CHIPS Act 2.0" — additional funding for advanced packaging and R&D. If it moves through committee, MU is a top-3 beneficiary. The risk on the other side: any move to renegotiate CHIPS Act terms or claw back grants (the administration has hinted at this for companies that laid off US workers) — MU has been expanding US headcount, so they're relatively safe, but headline risk is real.

IS IT EXPENSIVE?

Key Data

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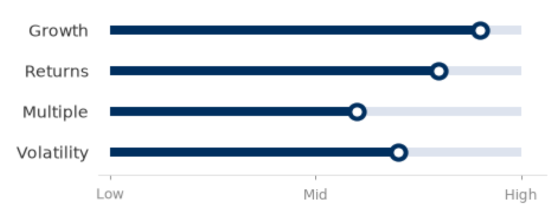
Price (USD)	**$932.97**
12M Price Target	**$1100.00**
Upside / (Downside)	**+17.9%**
Market Cap	**N/A**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$58,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$18.50**
Fwd P/E	**65.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

MU — Micron Technology, Inc. | August 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$970.00	**$850.00**
6 Months	**$1200.00**	$1050.00	**$800.00**
1 Year	**$1400.00**	$1100.00	**$750.00**
2 Years	**$1800.00**	$1300.00	**$650.00**
5 Years	**$2500.00**	$1600.00	**$500.00**
10 Years	**$4000.00**	$2200.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.3% 5D) and Communication Services (+2.4% 5D) — money is rotating defensive as tech digests gains. AI infrastructure names still have policy tailwinds from ongoing federal AI initiatives.

COOLING OFF: Technology (-2.1% 5D) and Utilities (-1.6% 5D) — tech is taking a breather after a huge run, and the "AI powers utilities" trade is unwinding a bit.

ROTATION WATCH: Money is temporarily rotating OUT of high-beta AI names into defensives, but the options flow in MU suggests this is a pause, not a top. When rotation reverses, memory and semis lead.

RELATED PLAY: If MU rips on HBM strength, watch Lam Research (LRCX) and Applied Materials (AMAT) — they sell the equipment that makes the memory. They benefit from every CHIPS Act-funded fab expansion without the commodity pricing risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king, but showing signs of digestion — headline today says it's "lagging," which is actually a tell that money might rotate to the picks-and-shovels players like MU.
- AVGO (Broadcom): Custom AI silicon + networking = hyperscaler darling; benefits from same AI capex wave as MU.

MU CONTEXT: MU is currently trading at 72% of its 52-week range and holding up better than the broader tech tape (-2.1% 5D vs MU's roughly flat 5D). That's relative strength — usually a leading indicator that this name wants to break out, not break down.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $900-920 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse or major CHIPS Act clawback

Hedging: Long-dated puts or pair with short SOXX